



A QUICK HISTORY LESSON

Debt.

Nothing in the area of finances has so dominated or influenced the direction of our society during the last few decades as much as debt. It's amazing when you consider that credit cards have only played an influential role in American life since the 1980s.¹ It was once unusual to finance a car purchase, and mortgages used to be mostly for GIs who were getting their starter homes. But today, it is typical for the American household's debt to include credit cards, car loan(s), and a mortgage. Often the list extends even farther to include consolidation loans, finance company loans, and parental loans.

And education? Students with an undergrad college degree carry an average debt of \$21,000 in student loans.² Even graduates of professional or vocational programs complete their training with an average student loan debt of \$10,000.³

How did our culture change so quickly? A look back will help us understand how the cycle of debt and credit became part of our way